

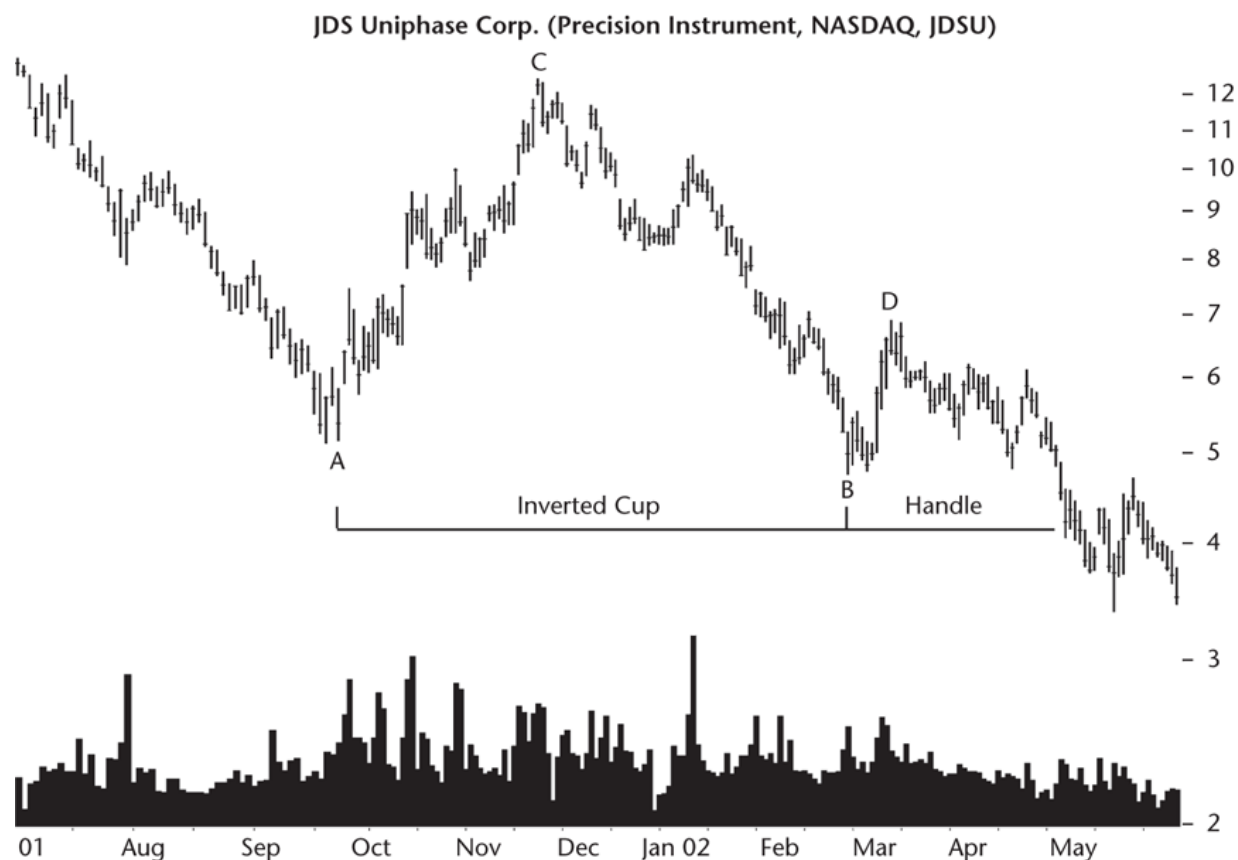


Figure 22.2 This inverted cup has a V-shape and a handle that mirrors the cup's shape.

Appearance. Imagine a teacup flipped upside-down with the handle on the right. That's what an icup pattern looks like.

Rounded cup. I did not check the performance of rounded cups versus V-shaped ones. However, I tried to limit my selections to the rounded shape. I consider [Figure 22.2](#) to have the V-shape (but used it in the study anyway) and the other figures in this chapter to be rounded-looking. You may find it easier to picture an inverted teacup or coffee cup in your mind as you search for the pattern.

Cup rims. The cup rims are points A and B in the figure. Few patterns I looked at had the same price across the rims. Price in the bottom of the pattern varied by a median of 2%.

Cup handle. I define the cup handle as the price movement from the right cup rim to the breakout (that is, until price closes below the level of the right cup rim). In the figure, the handle is from point B until almost May.